KCB GROUP PLC
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2023

	KCB KENYA BANK				NATIONAL BANK OF KENYA				KCB GROUP PLC COMPANY				KCB GROUP PLC CONSOLIDATED			
I. STATEMENT OF FINANCIAL POSITION	**30-Jun-23 Kshs 000 Un-audited**	**31-Mar-23 Kshs 000 Un-audited**	**31-Dec-22 Kshs 000 Audited**	**30-Jun-22 Kshs 000 Un-audited**	**30-Jun-23 Kshs 000 Un-audited**	**31-Mar-23 Kshs 000 Un-audited**	**31-Dec-22 Kshs 000 Audited**	**30-Jun-22 Kshs 000 Un-audited**	**30-Jun-23 Kshs 000 Un-audited**	**31-Mar-23 Kshs 000 Un-audited**	**31-Dec-22 Kshs 000 Audited**	**30-Jun-22 Kshs 000 Un-audited**	**30-Jun-23 Kshs 000 Un-audited**	**31-Mar-23 Kshs 000 Un-audited**	**31-Dec-22 Kshs 000 Audited**	**30-Jun-22 Kshs 000 Un-audited**
A. ASSETS																
1. Cash (both Local & Foreign)	8,559,788	7,012,428	10,332,230	6,737,958	1,292,440	1,355,093	1,432,365	1,025,598	-	-	-	-	32,326,927	30,475,370	29,290,313	15,355,954
2. Balances due from Central Bank of Kenya	28,367,249	28,587,984	32,017,676	31,537,378	3,678,269	5,890,587	3,806,747	3,854,871	-	-	-	-	32,045,518	34,478,571	35,824,423	35,392,249
3. Kenya Government and other securities held for dealing purposes	-	-	-	2,146,352	-	-	-	-	-	-	-	-	-	-	17,403,315	7,130,112
4. Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. Investment securities:					-	-	-	-								
a) Held at armotized cost: a. Kenya Government securities	141,109,708	126,338,375	126,184,144	111,436,114	23,995,864	24,382,348	24,564,568	25,983,415	-	-	-	-	165,564,114	151,179,265	151,200,443	137,921,025
b. Other securities	-	-	-	-	294,984	303,831	295,081	294,984	-	-	-	-	26,947,270	31,263,261	13,321,996	9,326,884
b) Fair value through OCI: a. Kenya Government securities	129,622,651	77,326,775	77,640,039	88,107,155	24,341,103	22,827,274	23,831,380	19,563,681	-	-	-	-	154,732,158	100,922,453	102,147,970	108,330,195
b. Other securities	1,961,923	2,126,118	2,065,406	2,064,375	-	-	-	-	-	-	-	-	15,179,284	14,353,641	11,349,927	22,265,848
6. Deposits and balances due from local banking institutions	10,628,742	2,252,893	1,700,652	2,181,428	3,802,703	1,650,663	1,722,415	4,053,430	622,880	622,880	711,662	-	14,431,445	3,904,315	1,722,415	5,763,232
7. Deposits and balances due from banking institutions abroad	111,734,297	7,198,603	23,430,225	13,547,574	1,229,957	4,937,748	856,588	975,532	243,149	-	-	-	318,315,211	185,575,950	187,926,359	44,828,200
8. Tax recoverable	224,335	-	2,306,005	194,730	269,959	-	35,633	-	91,699	90,291	90,291	102,106	-	-	336,465	107,218
9. Loans and advances to customers (net)	667,988,740	654,659,988	613,892,181	563,188,212	77,207,413	74,668,415	71,188,674	68,958,047	-	-	-	-	964,808,684	928,824,144	863,268,077	730,335,492
10. Balances due from group companies	8,887,593	7,624,757	10,228,308	5,412,330	30,491	28,406	20,504	-	1,970,336	1,312,658	-	1,404,799	-	-	-	-
11. Investments in associates	512,639	446,875	446,875	400,253	811,184	727,492	630,147	570,008	-	-	-	-	1,323,823	1,174,367	1,077,022	400,253
12. Investments in subsidiary companies	-	-	-	-	5,000	24,963	24,963	24,963	114,270,238	114,270,238	114,270,238	89,158,501	-	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14. Investment properties	12,600,607	12,600,607	12,600,607	10,227,387	-	-	-	-	-	-	-	-	12,600,607	12,600,607	12,600,607	10,666,421
15. Property and equipment	10,951,552	10,937,588	9,812,222	9,705,182	1,826,355	2,023,957	2,107,445	3,977,222	827,559	824,217	828,090	819,446	30,268,920	31,032,505	29,729,053	21,631,098
16. Prepaid lease rentals	115,779	116,403	117,027	118,275	-	-	-	-	-	-	-	-	121,050	121,683	122,313	123,579
17. Intangible assets	3,154,330	3,129,802	3,439,459	3,965,277	373,115	431,274	413,519	485,284	2,527	3,039	3,545	4,558	19,369,802	22,328,404	21,214,824	7,112,689
18. Deferred tax asset	23,795,094	21,093,450	20,130,483	19,882,401	5,509,119	4,595,976	4,423,855	3,841,789	105,699	109,865	109,865	81,690	31,424,593	27,070,553	25,757,832	24,254,069
19. Retirement benefit asset	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20. Other assets	21,444,316	34,091,236	25,009,222	16,987,987	6,948,440	7,725,036	7,415,390	5,397,800	90,207	88,257	61,405	43,507	45,131,644	55,298,733	49,736,614	29,163,018
21. TOTAL ASSETS	**1,181,659,343**	**995,543,882**	**971,352,761**	**887,840,368**	**151,616,396**	**151,573,063**	**142,769,274**	**139,006,624**	**118,224,294**	**117,321,445**	**116,075,096**	**91,614,607**	**1,864,591,050**	**1,630,603,822**	**1,554,029,968**	**1,210,107,536**
B. LIABILITIES																
22. Balances due to Central Bank of Kenya	-	20,966,128	37,227,730	-	-	13,951,314	-	-	-	-	-	-	-	34,917,442	37,227,730	-
23. Customer deposits	934,197,544	728,530,697	694,515,583	674,828,828	117,852,925	99,786,755	105,675,307	112,456,059	-	-	-	-	1,471,246,362	1,196,587,247	1,135,417,382	908,573,107
24. Deposits and balances due to local banking institutions	9,761,900	12,953,768	14,203,190	5,240,432	3,888,221	5,780,801	12,276,816	2,341,580	-	-	-	-	13,395,093	18,479,541	24,466,261	6,287,472
25. Deposits and balances due to foreign banking institutions	9,214,968	10,075,378	11,388,422	11,668,798	4,757,270	9,289,831	6,213,529	4,769,203	-	-	-	-	35,226,801	42,509,059	31,093,170	29,484,193
26. Other money market deposits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
27. Borrowed funds	60,466,819	58,125,397	54,574,726	35,656,075	4,991,152	4,643,551	628,790	-	18,175	-	-	-	65,643,453	62,636,131	63,609,957	40,244,123
28. Balances due to group companies	1,204,340	-	1,321,852	-	119,735	122,223	38,104	-	4,218,000	3,975,000	2,360,330	-	-	-	-	-
29. Tax payable	-	1,418,775	-	-	-	92,397	-	178,799	-	-	-	-	311,447	4,420,671	-	-
30. Dividends payable	-	3,213,463	3,213,463	3,588,745	-	-	-	274	-	-	-	5,156,922	-	-	-	5,156,922
31. Deferred tax liability	-	-	-	-	-	-	-	-	-	-	-	-	4,492,295	4,492,295	4,492,295	655,000
32. Retirement benefit liability	585,000	585,000	585,000	458,000	-	-	-	-	-	-	-	-	1,079,582	1,036,399	585,000	458,000
33. Other liabilities	35,474,817	35,065,774	30,928,460	23,213,938	9,142,487	2,868,298	2,846,796	3,028,624	591,909	508,987	765,947	309,325	55,198,628	50,679,310	50,861,910	37,498,979
34. TOTAL LIABILITIES	**1,050,905,388**	**870,934,380**	**847,958,426**	**754,654,816**	**140,751,790**	**136,535,170**	**127,679,342**	**122,774,539**	**4,828,084**	**4,483,987**	**3,126,277**	**5,466,247**	**1,646,593,661**	**1,415,758,095**	**1,347,753,705**	**1,028,357,796**
C. SHAREHOLDERS' FUNDS																
35. Paid up /Assigned capital	53,986,100	53,986,100	53,986,100	53,986,100	12,683,038	12,683,038	12,683,038	12,683,038	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463	3,213,463
36. Share premium/(discount)	-	-	-	-	3,141,319	3,141,319	3,141,319	3,141,319	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149	27,690,149
37. Revaluation reserves	-	-	-	-	-	-	-	1,200,558	-	-	-	-	2,487,666	2,487,666	2,487,666	1,200,558
38. Retained earnings / (Accumulated losses)	60,139,071	52,348,784	42,463,463	71,187,666	(9,032,528)	(4,433,806)	(4,324,159)	(5,192,523)	82,492,598	75,506,919	75,618,281	55,244,748	166,299,907	154,543,615	147,205,910	143,548,168
39. Statutory loan loss reserve	23,012,130	23,318,826	26,755,145	11,352,378	5,239,025	4,584,996	4,374,215	5,184,560	-	-	-	-	25,197,867	24,850,534	26,707,228	14,570,306
40. Other Reserves/Re-measurement of defined benefit asset/ liability	(6,383,346)	(5,044,208)	(4,195,571)	(3,340,592)	(1,166,248)	(937,654)	(784,481)	(784,867)	-	-	-	-	(13,657,013)	(11,067,418)	(13,530,926)	(11,109,399)
41. Proposed dividends	-	-	4,385,198	-	-	-	-	-	-	6,426,926	6,426,926	-	-	6,426,926	6,426,926	-
42. Capital grants	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	**130,753,955**	**124,609,502**	**123,394,335**	**133,185,552**	**10,864,606**	**15,037,893**	**15,089,932**	**16,232,085**	**113,396,210**	**112,837,457**	**112,948,819**	**86,148,360**	**211,232,039**	**208,144,935**	**200,200,416**	**179,113,245**
44. Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	6,765,350	6,700,793	6,075,847	2,636,495
45. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	**1,181,659,343**	**995,543,882**	**971,352,761**	**887,840,368**	**151,616,396**	**151,573,063**	**142,769,274**	**139,006,624**	**118,224,294**	**117,321,444**	**116,075,096**	**91,614,607**	**1,864,591,050**	**1,630,603,823**	**1,554,029,968**	**1,210,107,536**
II. STATEMENT OF COMPREHENSIVE INCOME																
1. INTEREST INCOME																
1.1 Loans and advances	31,955,440	15,564,523	59,625,463	28,576,896	3,569,738	1,708,699	7,499,952	3,865,030	67,604	-	-	-	51,213,444	24,694,179	84,174,056	38,377,127
1.2 Government securities	13,215,558	6,292,972	23,482,989	11,215,286	2,785,559	1,386,535	5,616,106	2,881,276	-	-	-	-	18,117,294	8,780,611	32,860,929	15,866,735
1.3 Deposits and placements with banking institutions	436,181	10,839	222,611	72,414	31,660	7,182	40,017	31,249	14,974	7,324	19,383	7,977	812,764	137,762	716,455	295,079
1.4 Other Interest Income	-	-	-	-	17,610	8,749	35,501	17,610	-	-	-	-	-	-	-	-
1.5 Total interest income	**45,607,179**	**21,868,334**	**83,331,063**	**39,864,596**	**6,404,567**	**3,111,165**	**13,191,576**	**6,795,165**	**82,578**	**7,324**	**19,383**	**7,977**	**70,143,502**	**33,612,552**	**117,751,440**	**54,538,941**
2. INTEREST EXPENSE																
2.1 Customer deposits	12,275,472	5,755,304	17,834,494	8,066,785	1,699,490	833,018	3,123,059	1,506,859	-	-	-	-	16,543,423	7,803,278	25,213,637	11,545,418
2.2 Deposits and placement from banking institutions	4,658,714	2,192,142	3,777,636	1,303,699	750,370	363,456	853,860	420,945	67,604	-	-	-	7,902,905	3,654,065	5,415,481	2,136,625
2.3 Other interest expenses	150,435	76,474	337,545	172,858	163,174	48,155	171,048	78,190	-	-	-	-	188,843	95,250	469,013	265,368
2.4 Total interest expenses	**17,084,621**	**8,023,920**	**21,949,675**	**9,543,342**	**2,613,034**	**1,244,629**	**4,147,967**	**2,005,994**	**67,604**	**-**	**-**	**-**	**24,635,171**	**11,552,593**	**31,098,131**	**13,947,411**
3. NET INTEREST INCOME/(LOSS)	**28,522,558**	**13,844,414**	**61,381,388**	**30,321,254**	**3,791,533**	**1,866,536**	**9,043,609**	**4,789,171**	**14,974**	**7,324**	**19,383**	**7,977**	**45,508,331**	**22,059,959**	**86,653,309**	**40,591,530**
4. OTHER OPERATING INCOME																
4.1 Fees and commissions on loans and advances	5,316,089	2,726,701	9,687,992	4,740,198	186,632	86,140	182,740	157,736	-	-	-	-	5,551,179	2,720,692	10,639,803	5,305,574
4.2 Other fees and commissions	4,688,521	2,718,609	7,489,825	3,707,715	612,259	286,576	781,435	316,902	-	-	-	-	12,283,788	7,080,655	12,347,508	6,119,235
4.3 Foreign exchange trading income	4,001,639	1,919,861	8,916,989	3,615,605	503,285	259,354	964,611	401,436	23,865	11,122	13,504	6,339	5,908,379	2,646,032	11,078,891	4,932,635
4.4 Dividend Income	-	-	-	-	51,144	51,144	-	-	691,168	-	32,824,414	5,716,749	-	-	-	-
4.5 Other income	2,440,546	1,143,429	5,274,148	2,055,787	298,904	172,993	390,978	98,234	608,157	347,419	1,412,053	333,866	3,816,676	2,342,914	9,185,313	2,858,172
4.6 Total other operating income	**16,446,795**	**8,508,600**	**31,368,954**	**14,119,305**	**1,652,224**	**856,207**	**2,319,764**	**974,308**	**1,323,190**	**358,541**	**34,249,971**	**6,056,954**	**27,560,022**	**14,790,293**	**43,251,515**	**19,215,616**
5. TOTAL OPERATING INCOME	**44,969,353**	**22,353,014**	**92,750,342**	**44,440,559**	**5,443,757**	**2,722,743**	**11,363,373**	**5,763,479**	**1,338,164**	**365,865**	**34,269,354**	**6,064,931**	**73,068,353**	**36,850,252**	**129,904,824**	**59,807,146**
6. OTHER OPERATING EXPENSES																
6.1 Loan loss provision	7,944,163	3,319,686	8,560,331	3,287,594	976,657	407,394	2,003,475	563,400	-	-	-	-	10,191,358	4,118,282	13,206,881	4,318,678
6.2 Staff costs	9,062,461	5,126,629	18,518,101	8,818,995	3,197,872	1,303,881	4,694,743	2,424,784	454,305	266,776	1,210,780	504,346	17,461,120	9,359,554	30,262,179	14,091,422
6.3 Directors' emoluments	245,340	145,992	433,849	289,618	14,291	7,680	35,038	13,788	26,988	11,850	78,244	42,290	449,211	236,355	536,697	371,660
6.4 Rental charges	101,230	87,385	185,795	104,014	89,334	45,063	123,551	111,023	-	-	-	-	410,360	199,006	464,550	299,018
6.5 Depreciation charge on property and equipment	994,308	529,009	2,169,789	1,082,785	276,531	138,332	589,774	316,822	8,791	4,383	15,693	7,491	3,887,036	1,154,647	3,990,091	1,967,867
6.6 Amortisation charges	834,307	379,975	1,517,741	760,219	92,378	50,273	285,536	162,542	1,019	506	2,026	1,013	1,110,392	525,301	2,624,814	1,067,820
6.7 Other operating expenses	6,612,395	3,551,461	12,453,787	6,254,926	4,637,317	647,433	2,783,626	1,206,971	375,695	193,710	840,816	193,430	17,101,495	7,403,051	21,488,259	9,512,285
6.8 Total other operating expenses	**25,794,204**	**13,140,137**	**43,839,393**	**20,598,151**	**9,284,380**	**2,600,056**	**10,515,743**	**4,799,330**	**866,798**	**477,225**	**2,147,559**	**748,570**	**50,610,972**	**22,996,196**	**72,573,471**	**31,628,750**
7. Profit/(loss) before tax and exceptional items	**19,175,149**	**9,212,877**	**48,910,949**	**23,842,408**	**(3,840,623)**	**122,687**	**847,630**	**964,149**	**471,366**	**(111,360)**	**32,121,795**	**5,316,361**	**22,457,381**	**13,854,056**	**57,331,353**	**28,178,396**

KCB GROUP PLC
UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30 JUNE 2023

	KCB KENYA BANK				NATIONAL BANK OF KENYA				KCB GROUP PLC COMPANY				KCB GROUP PLC CONSOLIDATED			
II. STATEMENT OF COMPREHENSIVE INCOME	30-Jun-23 Kshs 000 Un-audited	31-Mar-23 Kshs 000 Un-audited	31-Dec-22 Kshs 000 Audited	30-Jun-22 Kshs 000 Un-audited	30-Jun-23 Kshs 000 Un-audited	31-Mar-23 Kshs 000 Un-audited	31-Dec-22 Kshs 000 Audited	30-Jun-22 Kshs 000 Un-audited	30-Jun-23 Kshs 000 Un-audited	31-Mar-23 Kshs 000 Un-audited	31-Dec-22 Kshs 000 Audited	30-Jun-22 Kshs 000 Un-audited	30-Jun-23 Kshs 000 Un-audited	31-Mar-23 Kshs 000 Un-audited	31-Dec-22 Kshs 000 Audited	30-Jun-22 Kshs 000 Un-audited
8. Exceptional items	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9. Profit/(loss) after exceptional items	**19,175,149**	**9,212,877**	**48,910,949**	**23,842,408**	**(3,840,623)**	**122,687**	**847,630**	**964,149**	**471,366**	**(111,360)**	**32,121,795**	**5,316,361**	**22,457,381**	**13,854,056**	**57,331,353**	**28,178,396**
10. Current tax	(8,179,832)	(3,726,665)	(14,684,118)	(8,082,910)	(924,585)	(128,030)	(553,222)	(487,812)	(19,809)	-	(34,419)	(1,220)	(10,768,961)	(5,435,484)	(17,034,861)	(9,600,361)
11. Deferred tax	2,937,446	962,967	509,282	757,837	921,649	106,475	425,371	185,420	(4,166)	-	116,872	88,697	4,368,984	1,334,238	541,243	1,068,596
12. Profit/(loss) after tax and exceptional items	**13,932,763**	**6,449,179**	**34,736,113**	**16,517,335**	**(3,843,559)**	**101,132**	**719,779**	**661,757**	**447,391**	**(111,360)**	**32,204,248**	**5,403,838**	**16,057,404**	**9,752,810**	**40,837,735**	**19,646,631**
13. Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	461,828	249,381	224,219	124,848
14. Profit/(loss) after tax and exceptional items and Minority Interest	**13,932,763**	**6,449,179**	**34,736,113**	**16,517,335**	**(3,843,559)**	**101,132**	**719,779**	**661,757**	**447,391**	**(111,360)**	**32,204,248**	**5,403,838**	**15,595,576**	**9,503,429**	**40,613,516**	**19,521,783**
15. Other Comprehensive income:																
15.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-	-	-	-	2,448,699	(634,007)	787,000	2,622,412
15.2 Fair value changes in available-for-sale financial assets	(2,322,393)	(1,212,340)	(4,281,932)	(3,275,679)	(545,382)	(218,819)	(1,134,300)	(1,129,767)	-	-	-	-	(2,575,924)	(5,725,056)	(4,218,406)	(2,860,519)
15.3 Re-measurement of defined benefit pension fund	-	-	(218,000)	-	-	-	-	-	-	-	-	-	-	-	(218,000)	-
15.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
15.5 Income tax relating to components of other comprehensive income	696,718	363,702	1,349,980	982,704	163,614	65,646	340,290	337,372	-	-	-	-	772,777	1,717,517	1,330,922	858,156
16. Other comprehensive income for the year net of tax	**(1,625,675)**	**(848,638)**	**(3,149,952)**	**(2,292,975)**	**(381,768)**	**(153,173)**	**(794,010)**	**(792,395)**	**-**	**-**	**-**	**-**	**645,552**	**(4,641,546)**	**(2,318,484)**	**620,049**
17. Total comprehensive income for the year	**12,307,088**	**5,600,541**	**31,586,161**	**14,224,360**	**(4,225,327)**	**(52,041)**	**(74,231)**	**(130,638)**	**447,391**	**(111,360)**	**32,204,248**	**5,403,838**	**16,702,956**	**5,111,264**	**38,519,251**	**20,266,680**
18. EARNINGS PER SHARE- DILUTED & BASIC KSHS	**0.52**	**0.48**	**0.64**	**0.61**	**(0.61)**	**0.03**	**0.06**	**0.10**	**0.28**	**(0.14)**	**10.02**	**3.36**	**9.71**	**11.83**	**12.64**	**12.15**
19. DIVIDEND PER SHARE - DECLARED KSHS	**-**	**-**	**0.58**	**-**	**-**	**-**	**-**	**-**					**-**	**-**	**2.00**	**-**
III. OTHER DISCLOSURES																
1. NON-PERFORMING LOANS AND ADVANCES																
a) Gross Non-performing loans and advances	141,514,219	138,947,180	129,110,413	141,106,429	23,446,274	20,826,579	18,495,986	28,127,214					181,999,125	176,470,712	161,204,092	173,428,079
b) Less Interest in Suspense	14,384,317	12,127,998	10,700,324	9,617,156	2,671,730	2,597,208	2,434,820	4,301,810					17,731,483	15,333,322	13,847,979	14,396,370
c) Total Non-Performing Loans and Advances (a-b)	**127,129,902**	**126,819,182**	**118,410,089**	**131,489,273**	**20,774,544**	**18,229,371**	**16,061,166**	**23,825,404**					**164,267,642**	**161,137,390**	**147,356,113**	**159,031,709**
d) Less Loan Loss Provision	66,705,913	65,749,112	52,055,838	49,794,507	11,679,516	10,696,228	10,227,482	12,747,318					75,313,726	85,716,325	70,613,860	65,076,186
e) Net Non-Performing Loans and Advances(c-d)	**60,423,989**	**61,070,070**	**66,354,251**	**81,694,766**	**9,095,028**	**7,533,143**	**5,833,684**	**11,078,086**					**88,953,916**	**75,421,065**	**76,742,253**	**93,955,523**
f) Discounted Value of Securities	54,455,146	56,543,010	62,146,449	66,859,940	8,892,025	7,032,471	5,575,691	10,863,989					73,605,752	73,544,910	65,844,558	78,243,620
g) Net NPLs Exposure (e-f)	**5,968,843**	**4,527,060**	**4,207,802**	**14,834,826**	**203,003**	**500,672**	**257,994**	**214,097**					**15,348,164**	**1,876,155**	**10,897,695**	**15,711,903**
2. INSIDER LOANS AND ADVANCES																
a) Directors, Shareholders and Associates	18,636,524	16,381,229	10,588,373	1,749,235	42	51	19	26					21,337,162	19,125,813	11,567,155	1,228,982
b) Employees	14,266,952	14,717,824	14,749,609	14,684,613	5,239,808	5,700,537	5,725,588	5,690,401					22,363,612	23,335,422	23,209,465	22,467,161
c) Total Insider Loans and Advances and other facilities	**32,903,476**	**31,099,053**	**25,337,982**	**16,433,848**	**5,239,850**	**5,700,588**	**5,725,607**	**5,690,427**					**43,700,774**	**42,461,235**	**34,776,620**	**23,696,143**
3. OFF-BALANCE SHEET ITEMS																
a) Letters of credit,guarantees, acceptances	328,204,649	180,131,434	111,462,201	112,856,455	16,958,850	9,067,134	8,622,735	2,919,316					392,408,918	256,581,354	157,031,406	132,251,287
b) Forwards, swaps and options	8,833,888	16,378,420	4,928,705	8,674,370	3,426,807	5,390,978	6,121,453	5,335,040					14,149,934	23,520,012	12,399,606	16,230,554
c) Other contingent liabilities	-	-	-	-	-	-	-	-					-	-	-	-
d) Total Contingent Liabilities	**337,038,537**	**196,509,854**	**116,390,906**	**121,530,825**	**20,385,657**	**14,458,112**	**14,744,188**	**8,254,356**					**406,558,852**	**280,101,366**	**169,431,012**	**148,481,841**
4. CAPITAL STRENGTH																
a) Core capital	**94,079,574**	**92,327,887**	**85,964,036**	**108,724,207**	**6,217,534**	**10,857,004**	**11,034,430**	**9,893,394**					**212,220,484**	**179,653,980**	**173,697,452**	**156,905,908**
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000					1,000,000	1,000,000	1,000,000	1,000,000
c) Excess (a-b)	**93,079,574**	**91,327,887**	**84,964,036**	**107,724,207**	**5,217,534**	**9,857,004**	**10,034,430**	**8,893,394**					**211,220,484**	**178,653,980**	**172,697,452**	**155,905,908**
d) Supplementary Capital	**36,961,274**	**35,598,290**	**34,786,348**	**32,788,397**	**4,361,804**	**5,173,780**	**1,129,549**	**1,349,885**					**47,118,490**	**45,699,277**	**40,511,551**	**34,796,121**
e) Total Capital (a+d)	**131,040,848**	**127,926,177**	**120,750,384**	**141,512,604**	**10,579,338**	**16,030,784**	**12,163,978**	**11,243,279**					**259,338,974**	**225,353,257**	**214,209,003**	**191,702,029**
f) Total risk weighted assets	**847,901,929**	**833,863,162**	**792,142,822**	**724,881,775**	**100,242,920**	**96,085,038**	**90,363,905**	**83,979,672**					**1,411,777,840**	**1,324,124,781**	**1,249,837,735**	**885,499,650**
g) Core Capital/Total deposits Liabilities	**10.0%**	**12.5%**	**12.2%**	**15.8%**	**5.1%**	**10.5%**	**10.0%**	**8.4%**					**14.4%**	**15.0%**	**15.3%**	**17.3%**
h) Minimum statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%					8.0%	8.0%	8.0%	8.0%
I) Excess	**2.0%**	**4.5%**	**4.2%**	**7.8%**	**(2.9%)**	**2.5%**	**2.0%**	**0.4%**					**6.4%**	**7.0%**	**7.3%**	**9.3%**
j) Core Capital / total risk weighted assets	**11.1%**	**11.1%**	**10.9%**	**15.0%**	**6.2%**	**11.3%**	**12.2%**	**11.8%**					**15.0%**	**13.6%**	**13.9%**	**17.7%**
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%					10.5%	10.5%	10.5%	10.5%
l) Excess (j-k)	**0.6%**	**0.6%**	**0.4%**	**4.5%**	**(4.3%)**	**0.8%**	**1.7%**	**1.3%**					**4.5%**	**3.1%**	**3.4%**	**7.2%**
m) Total Capital/total risk weighted assets	**15.5%**	**15.3%**	**15.2%**	**19.5%**	**10.6%**	**16.7%**	**13.5%**	**13.4%**					**18.4%**	**17.0%**	**17.1%**	**21.6%**
n) Minimum statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%					14.5%	14.5%	14.5%	14.5%
o) Excess (m-n)	**1.0%**	**0.8%**	**0.7%**	**5.0%**	**(3.9%)**	**2.2%**	**(1.0%)**	**(1.1.%)**					**3.9%**	**2.5%**	**2.6%**	**7.1%**
5. LIQUIDITY																
a) Liquidity Ratio	**44.0%**	**28.1%**	**29.9%**	**35.0%**	**45.2%**	**36.3%**	**40.5%**	**47.3%**					**52.1%**	**43.7%**	**40.9%**	**39.0%**
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%					20.0%	20.0%	20.0%	20.0%
c) Excess (a-b)	**24.0%**	**8.1%**	**9.9%**	**15.0%**	**25.2%**	**16.3%**	**20.5%**	**27.3%**					**32.1%**	**23.7%**	**20.9%**	**19.0%**

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Kshs '000	Share premium Kshs '000	Revenue and other reserves Kshs '000	Non Controlling Interest Kshs '000	Total Kshs '000
At 1 January 2023	**3,213,463**	**27,690,149**	**169,296,804**	**6,075,847**	**206,276,263**
Profit for the year	-	-	15,595,576	689,503	16,285,079
Other comprehensive income net of tax	-	-	(1,350,490)	-	(1,350,490)
Equity transactions with non controlling interest	-	-	-	-	-
Dividend paid in the year	-	-	(3,213,463)	-	(3,213,463)
At 30 June 2023	**3,213,463**	**27,690,149**	**180,328,427**	**6,765,350**	**217,997,389**

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	30-Jun-2023 Un-audited Kshs '000	31-Dec-22 Audited Kshs '000	30-Jun-2022 Un-audited Kshs '000
Cashflows generated from / (used in) operating activities	187,998,078	49,477,000	7,922,955
Cashflows used in investing activities	(3,691,010)	98,725,000	(3,037,677)
Cash flows used in financing activities	(1,179,967)	7,761,000	(1,800,377)
Net Increase / (decrease) in cash and cash equivalents	**183,127,101**	**155,963,000**	**3,084,901**
Cash and cash equivalents at period start	213,992,000	58,029,000	58,029,000
Cash and cash equivalents at period end	**397,119,101**	**213,992,000**	**61,113,901**

Message from the Directors

The above financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.kcbgroup.com They may also be accessed at the institutions Head Office located at Kencom House, Moi Avenue, Nairobi, Kenya.

The financial statements were approved by the Board of Directors on Wednesday 23 Aug 2023, and signed on its behalf by: **FCS Dr. Joseph Kinyua** – Group Chairman | **Paul Russo** – Group Chief Executive Officer

Regulated by Central Bank of Kenya